BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

IN THE MATTER OF

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

CASE 25-G-0073

MAY 2025

Prepared Testimony of:
Staff Gas Safety Panel (SGSP)

Jonathan Mercurio
Utility Engineering Specialist 3

Michael Pasinella
Utility Engineering Specialist 3

Robert Jucha
Utility Engineering Specialist 2

Max Mueller
Utility Engineering Specialist 2

Robert Draiss
Utility Engineering Specialist 1

Julie Demers
Utility Engineering Specialist 1

Office of Energy System Planning
and Performance

State of New York
Department of Public Service

Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Staff Gas Safety Panel (Panel), state your names, employer, and business address.

A. Our names are Jonathan Mercurio, Michael Pasinella, Robert Jucha, Max Mueller, Robert Draiss, and Julie Demers. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Jonathan Mercurio, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 3 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.

Q. Summarize your education and work experience.

A. I graduated from Farmingdale State College, State University of New York in 2008 with a Bachelor of Science degree in Electrical Engineering Technology. I have been employed by the Department since 2009 in the New York Office. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of major gas utilities in New York

State. My duties include reviewing proposed pipeline designs, reviewing proposed updates to utility operations and maintenance procedures, and reviewing proposed changes to Federal and State pipeline safety regulations. In addition, I perform record and field audits of local distribution companies and interstate pipelines to ensure compliance with the Federal and state pipeline safety regulations. I also inspect construction activities of local distribution companies and interstate pipelines to ensure compliance with federal and state pipeline safety regulations.

Q. Have you previously testified before the Commission?

A. Yes. I provided testimony in Case 10-E-0362 and Case 24-G-0061 Orange and Rockland Utilities, Inc. (O&R); Cases 13-S-0032 and 16-G-0061, Consolidated Edison Company of New York, Inc. (Con Edison or the Company); Cases 19-G-0309 and 23-G-0225, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY); Cases 19-G-0310 and 23-G-0226, KeySpan Gas East Corporation d/b/a National Grid (KEDLI).

Q. Michael Pasinella, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 3 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.

Q. Summarize your education, work experience, and applicable licenses.

A. I graduated from Clarkson University with a Bachelor of Science degree in Civil Engineering in May 2009. I have been employed by the Department since December 2010. I have been a licensed Professional Engineer in New York State since December 2020. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of major gas utilities in New York State. My duties include enforcement of alleged violations related to damage prevention, reviewing proposed pipeline designs, reviewing utility operations and maintenance procedures, reviewing major gas rate filings, processing petitions and waivers related to code compliance, and reviewing proposed changes to Federal and State pipeline safety regulations.

Q. Have you previously testified before the Commission?
A. Yes. I testified in Case 14-G-0319, Central Hudson Gas & Electric Corporation (Central Hudson); Cases 15-G-0284, 19-G-0379, and 22-G-0318, New York State Electric & Gas Corporation (NYSEG); Cases 15-G-0286, 19-G-0381, and 22-G-0320, Rochester Gas and Electric Corporation (RG&E); Cases 16-G-0058 and 19-G-0310, KEDLI; Cases 16-G-0059 and 19-G-0309, KEDNY; Cases 16-G-0257 and 23-G-0627, National Fuel Gas Distribution Corporation (NFG); Cases 17-G-0239 and 20-G-0381, Niagara Mohawk Power Corporation d/b/a National Grid (NMPC); Cases 18-G-0068 and 21-G-0073, O&R; and Cases 19-G-0066 and 22-G-0065, Con Edison.
Q. Robert Jucha, what is your position at the Department?
A. I am employed as a Utility Engineering Specialist 2 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.
Q. Summarize your education and work experience.
A. I graduated from Hudson Valley Community College

with an Associate degree in Civil Engineering Technology in 1993. I then continued my education and graduated from Rochester Institute of Technology with a Bachelor of Science degree in Civil Engineering in May 1996. I have been employed by the Department since February 2004. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of major gas utilities in New York State. My duties include enforcement of alleged violations related to damage prevention, reviewing proposed pipeline designs, reviewing utility operations and maintenance procedures, reviewing major gas rate filings, processing petitions and waivers related to code compliance, and reviewing proposed changes to Federal and State pipeline safety regulations. I have conducted record, field, and construction inspections of local distribution companies and interstate pipeline operators to ensure compliance with Federal and State pipeline safety regulations. I have also spent a year in the Department's Downstate Rates and Tariffs Section, during which time my duties included

reviewing the capital, operation, and maintenance expenditures of gas and small water companies' compliance filings.

Q. Have you previously testified before the Commission?

A. Yes. I testified in Cases 08-G-0888, 09-G-0589, 17-G-0460, and 20-G-0429, Central Hudson; Case 22-G-0065, Con Edison; Case 21-G-0394, Corning Natural Gas Corporation; Case 22-G-0318, NYSEG; Case 21-G-0073, O&R; and Case 22-G-0320, RG&E.

Q. Max Mueller, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 2 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.

Q. Summarize your education and work experience.

A. I graduated from the Macaulay Honors College at the City College of New York with a Bachelor of Engineering degree in Mechanical Engineering in 2015. I have been employed by the Department since July 2016. I graduated from the City College of New York with a Master of Engineering degree in Mechanical Engineering in 2019. I am

familiar with Federal and State pipeline safety regulations, as well as with the operations of steam utilities in New York State. My duties include conducting record, field, and construction inspections of local distribution companies and interstate pipeline operators to verify compliance with Federal and State pipeline safety regulations, conducting pipeline incident investigations and investigations of third-party damages, conducting investigations for safety-related customer complaints, and reviewing proposed updates to utility operations and maintenance, storm hardening, and other program plans.

Q. Have you previously testified before the Commission?

A. Yes. I testified in Cases 19-G-0066 and 22-S-0659, Con Edison.

Q. Robert Draiss, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.

Q. Summarize your education and work experience.
A. I graduated from SUNY Polytechnic Institute in Utica with a Bachelor of Science Degree in Civil Engineering Technology in May 2021. Additionally, I graduated from Hudson Valley Community College with an Associate degree in Applied Science in Mechanical Engineering Technology in May 2003. I have been employed by the Department since February 2023.
Q. Have you previously testified before the Commission?
A. No.
Q. Julie Demers, what is your position at the Department?
A. I am employed as a Utility Engineering Specialist 1 in the Pipeline Safety Section of the Office of Energy System Planning and Performance.
Q. Summarize your education and work experience.
A. I graduated from Rensselaer Polytechnic Institute in Troy, New York, with a Bachelor of Science degree in Mechanical Engineering in December 1996. After graduation I worked as a manufacturing quality engineer for Valeo

Electrical Systems in Rochester, New York. I earned certification as a Shainin Journeyman Statistical Engineer based on projects completed at Valeo Electrical Systems in 2000. I began working for the New York State Department of Labor as an Unemployment Insurance Reviewing Examiner in 2012. I have been employed by the Department since December 2024. My duties include conducting operations and maintenance program audits and reviewing major gas rate filings.

Q. Have you previously testified before the Commission?

A. Yes. I testified in Case 24-G-0668, Liberty Utilities (St. Lawrence Gas) Corp.

SCOPE OF TESTIMONY

Q. What is the purpose of the Panel's testimony in this proceeding?

A. The purpose of our testimony is to address gas safety performance measures in the areas of infrastructure replacement or reduction, leak management, damage prevention, emergency response, and compliance with pipeline safety regulations. Our testimony will also address

incremental full-time equivalent (FTE) positions, and reporting requirements.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes, we will refer to, and have relied upon, several responses to Information Requests (IRs) provided by the Company. These responses are provided in Exhibit__(SGSP-1) and are referred to by the designation assigned by the Department, for example, DPS-123.

Q. Is the Panel sponsoring any other exhibits?

A. Yes. Exhibit__(SGSP-2) contains the December 11, 2015, damage prevention guidance letter. Exhibit__(SGSP-3), Exhibit__(SGSP-4), and Exhibit__(SGSP-5), contain the 2021, 2022, and 2023, operations and maintenance field and record audit letters, respectively. Exhibit__(SGSP-6) contains the Department Staff (Staff), compliance measure procedure which includes a breakdown of the high risk and other risk categories associated with 16 NYCRR Parts 255 and 261, and Title 49 of United States Code of Federal Regulations (CFR) Part 193.

Exhibit__(SGSP-7) contains the electric burnout reporting table.

Q. Panel, explain the purpose of gas safety performance measures?

A. Gas safety performance measures help to ensure safe and reliable service by requiring operators to maintain focus on important safety areas. The performance measures for each operator are derived from their historic performance levels, our knowledge of the Company, and our experience with other operators in the State.

Q. Explain the gas safety performance measures currently in place for the Company.

A. Currently, the Company has gas safety performance measures for infrastructure replacement or reduction, leak management, damage prevention, emergency response, and compliance with pipeline safety regulations.

Q. Do these performance measures have positive or negative revenue adjustments (PRAs and NRAs, respectively)?

A. The leak management, damage prevention, and emergency response measures have associated PRAs and NRAs. The infrastructure replacement or

reduction and compliance with pipeline safety regulation measures, only have associated NRAs.

Q. What were the total basis point (BP) exposures for the Company related to these adjustments?

A. The Company is subject to a total adjustment of 22 and 150 BPs for PRAs and NRAs, respectively.

Q. Does the Panel propose any modifications to these performance measures, PRAs, or NRAs?

A. Yes, we will explain later in our testimony.

INFRASTRUCTURE REPLACEMENT OR REDUCTION

Q. What type of pipe is considered leak prone?

A. Leak prone pipe (LPP) generally includes unprotected steel, cast iron, wrought iron, and some earlier vintages of plastic pipe, such as aldyl. According to its response to DPS-213, contained in Exhibit__(SGSP-1), Con Edison's LPP inventory consists of unprotected bare steel, small diameter cast iron that is 12-inches and smaller, and wrought iron.

Q. What is meant by the term "unprotected"?

A. Unprotected means that the pipe lacks adequate cathodic protection, thus rendering it susceptible to corrosion. Unprotected steel often has inadequate or no coating, which makes

efforts to cathodically protect such pipe ineffective, uneconomical, or both.

Q. What is meant by the term "cathodic protection"?

A. Cathodic protection means the prevention of electrolytic corrosion of a metallic structure, such as a pipeline, by causing it to act as the cathode rather than the anode of an electrochemical cell.

Q. Explain the importance of replacing or reducing unprotected steel pipe.

A. Data collected by the United States Department of Transportation, Pipeline and Hazardous Materials Safety Administration (PHMSA) shows that corrosion is a leading cause of pipeline failures, and of all LPPs unprotected steel is one of the materials that is more susceptible to corrosion. This information is publicly available at: https://primis.phmsa.dot.gov/comm/FactSheets/FSCorrosion.htm.

Q. Explain the importance of replacing or reducing cast iron pipe.

A. In general, cast-iron pipe is brittle, susceptible to graphitization, which is a form

of corrosion, and has low beam strength. Beam strength refers to the amount of load a structure can withstand before it fails. Low beam strength means that cast iron pipe can fail if it is subjected to increased loading from an external force, or from a loss of ground support. This characteristic makes the material particularly susceptible to stresses from underground forces or disturbances. Such disturbances include, but are not limited to, ground settlement, freeze-thaw cycles, soil erosion, or nearby excavation activities. The physical characteristics of cast iron make it more prone to catastrophic failure than cathodically protected steel or plastic. Also, the smaller the diameter, the more susceptible the cast iron piping is to breakage. In addition, segments of cast iron are joined by hub joints, also known as bell and spigot joints. Packing material, such as jute, was used in the joints to prevent leakage when cast iron pipelines were first installed many decades ago. Unlike steel welded joints, cast iron joints can develop leaks with time.

Q. How does the replacement or reduction of cast iron contribute to the safety of the gas system?

A. Cast iron tends to be located in densely populated areas where there are many enclosed structures, subsurface structures, and continuously paved areas. In the event of a major leak or pipeline failure, these environmental circumstances may lead to greater volumes of below-ground gas migration, particularly under paved areas and through connected subsurface structures, which creates an increased risk for fires or explosions. Replacing or reducing cast iron pipe decreases the potential for incidents resulting from leaks and failures, thereby improving public safety.

Q. How does the infrastructure replacement or reduction program improve the safety of the gas system?

A. Underground piping leaks can create safety risks to the public which can potentially lead to serious incidents, resulting in fatalities or injuries to persons or property damage. Therefore, replacing or reducing LPP decreases these safety concerns and risks.

Q. Are there other benefits associated with replacing or reducing LPP?

A. Yes, replacing or reducing LPP decreases the number of leaks, leads to a decline in leakage rates, reduces methane emissions, and reduces the operating, maintenance, and overtime costs associated with surveying leaks and responding to emergency reports.

Q. Is water infiltration also a concern for low pressure LPP?

A. Yes. During periods of high rain, extreme weather conditions, or when the water table rises, low pressure LPP is susceptible to water infiltration. When water infiltration into low pressure LPP occurs, any resulting outages, in general, tend to be longer in duration and can persist. By removing low pressure LPP, system reliability improves in addition to reducing the number of service interruptions.

Q. Describe the infrastructure replacement or reduction component of the gas safety performance measures.

A. This component is designed to ensure that an operator continues to proactively replace or

reduce LPP from its system. Typically, an operator would only replace or reduce LPP to ensure compliance with the pipeline safety regulations, to respond to customer complaints, or through coordinated municipal or state projects where a portion of the associated costs are shared.

Q. Does Con Edison currently have an infrastructure replacement or reduction program?

A. Yes.

Q. How does the Company prioritize pipeline segments when replacing or reducing LPP?

A. The pipe to be removed from service is identified and ranked using a risk assessment model-based approach.

Q. What is a risk assessment model?

A. A risk assessment model prioritizes all segments of LPP according to attributes that pose the highest associated risk. The model uses several weighted factors including, but not limited to, material type, diameter, pressure, date of installation, and leakage history, to determine a ranking. This allows the Company to provide a higher level of public safety by focusing more

of its efforts and resources on pipeline segments with higher risk. Although there are commonalities between the State's distribution companies, it is important to note that the model is tailored to the Company's unique mix of assets and may not be appropriate for other operators. A uniform approach cannot accommodate the characteristics that must be considered for each system.

Q. Does the Company replace leak prone services in conjunction with its infrastructure replacement or reduction program?

A. Yes. When replacing LPP, it is common to group mains and services together within a single project. These efforts provide the most cost-efficient approach, in addition to minimizing service interruptions.

Q. What infrastructure replacement or removal targets apply to Con Edison?

A. The Commission's January 16, 2020, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (2020 Rate Order) required that Con Edison replace or reduce a minimum of 85 miles of LPP in 2022.

The Commission's December 22, 2021, Order Granting Petition with Modification (2021 Order) required that Con Edison replace or reduce a cumulative minimum of 247 miles of LPP from 2020 to 2022. The Commission's July 20, 2023 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (2023 Rate Order) requires that Con Edison replace or reduce a minimum of 76 miles of LPP in 2023 and 2024, and a cumulative minimum of 240 miles of LPP from 2023 to 2025.

Q. Were there NRAs for Con Edison's infrastructure replacement or reduction program?

A. Yes. Should the Company fail to meet either of these requirements, it would be subject to an NRA of 15 BPs.

Q. How did Con Edison perform with respect to LPP replacement or reduction in 2022, 2023, 2024, and cumulatively from 2020 to 2022?

A. According to its response to DPS-360, Con Edison reported that it replaced or reduced 100.8, 79.9, and 78.2 miles of LPP in 2022, 2023, and 2024, respectively, and 273.6 cumulative miles

of LPP from 2020 to 2022.

Q. Was Con Edison subject to NRAs for its performance in 2022, 2023, 2024, or cumulatively from 2020 to 2022?

A. No.

Q. Did the Company propose to update or modify its existing infrastructure replacement or reduction program?

A. No.

Q. At the proposed removal rate, how long will it take for the Company to replace or reduce all LPP within its service territory?

A. With an annual average rate of 80 miles per year, Con Edison's infrastructure replacement or reduction program would be completed in approximately 15 years, or by 2040.

Q. How does the Company rank nationally and within New York State when it comes to its remaining inventory of LPP?

A. Of the approximately 1,336 gas operators in the United States, Con Edison ranks 12th worst in the nation and 2nd worst in New York State with 1,223.8 miles of LPP remaining.

Q. Does the Panel agree with Con Edison's proposal

to replace or reduce a minimum of 76 miles of LPP in 2026 and 2027, and a cumulative minimum of 240 miles of LPP from 2026 to 2028?

A. Yes. As previously mentioned, leaks on underground piping can create safety risks to the public which can potentially lead to serious incidents, resulting in injuries to persons or property damage. Because of the high population density of the Con Edison gas service territory, these risks are magnified. Therefore, replacing or reducing LPP decreases these safety risks.

Q. Does the Panel agree with NRAs of 15 BPs for failure to meet the 2026 and 2027 annual LPP targets, and 15 BPs for failure to meet the 2026 to 2028 cumulative target?

A. Yes. A financial disincentive should be provided to ensure that Con Edison maintains its LPP replacement or reduction efforts. While Con Edison has proven through its recent efforts it can successfully replace or reduce LPP at the proposed rate, this does not provide assurances to rate payers that efforts will remain at this level. Also, should Con Edison’s performance decline, this would negatively affect its long-

term plan and ultimately the Commission's goal of the complete elimination of all LPP.

Q. Does the Panel agree that Con Edison should not earn PRAs for exceeding the LPP targets?

A. Yes. Funding is included for Con Edison to replace or reduce an average of 80 miles annually. Should Con Edison remove more than 80 miles annually, the safety and reliability surcharge mechanism would enable it to recover the additional associated costs.

Q. Does the Panel agree with the Company's proposal to continue the remaining provisions related to LPP replacements or reductions?

A. Yes. We agree with the removal of leak prone services in conjunction with LPP replacements; utilization of a risk-based prioritization algorithm to identify and rank segments of LPP for replacements or reductions; replacing or reducing all low-pressure gas mains in flood-prone areas by 2040; including non-pipeline alternatives, or NPAs, as a way to reduce its LPP inventory; and on-site inspection efforts being commensurate with LPP targets to ensure workmanship and installation standards.

Q. Will the LPP targets affect the Company's risk assessment model?

A. No. We expect that Con Edison will continue to use its risk assessment model to rank segments of pipe for replacement or reduction so that the pipe that presents the greatest risk to the public is removed before lower-risk pipe. At the same time, we recognize that Con Edison needs flexibility to complete opportunistic removals, such as geographic area approaches, or in conjunction with other entities, such as municipal repaving projects. However, overall risk mitigation should remain a primary driver for infrastructure replacements or reductions. For example, if the Company is using the geographic area approach, the areas removed should contain high-risk pipe segments.

Q. Does the Panel agree with Con Edison filing an annual LPP report identifying, among other things, proposed projects, estimated costs, and the anticipated number of leaks to be remedied by these efforts?

A. Yes. We recommend that Con Edison submit an annual LPP report. The annual report, at a

minimum, would include material type, mileage, project location, risk ranking at the time of replacement or reduction, project cost, a forecast of scheduled projects and their risk rankings, and a reconciliation of proposed versus actual LPP replacements or reductions. The Panel recommends that Con Edison file this annual report no later than 60 days following the close of each rate year with the Secretary to the Commission in Case 25-G-0073.

Q. Does the Panel recommend that the LPP measure should continue after the rate year?

A. Yes. We recommend that the LPP measure continue in effect until changed by the Commission.

LEAK MANAGEMENT

Q. Explain the term "leak management."

A. Leak management refers to an operator's ability to monitor and repair existing and newly discovered leaks on its gas system.

Q. Explain the total leak management target.

A. The total leak management target encompasses Type 1, Type 2A, Type 2, and Type 3 leaks as defined by 16 NYCRR §§255.811, 255.813, 255.815, and 255.817, respectively.

Q. Does Con Edison have safety-related targets for leak management?

A. Yes. Pursuant to the 2020 Rate Order, Con Edison is required to maintain a total leak backlog of less than 200 leaks for 2022. Pursuant to the 2023 Rate Order, Con Edison is required to maintain a total leak backlog of less than 175, 160, and 145 leaks for 2023, 2024, and 2025, respectively.

Q. Would Con Edison incur NRAs for failure to meet these leak management targets?

A. Yes. Under the 2020 Rate Order, should Con Edison fail to meet the total leak management target in 2022, it would incur an NRA of 15 BPs. Under the 2023 Rate Order, should Con Edison fail to meet the total leak management target in 2023, 2024, or 2025, it would incur an NRA of either five, ten, or 15 BPs, respectively.

Q. Could Con Edison earn PRAs for it exceeding the leak management targets?

A. Yes. Under the 2020 Rate Order, the 2022 total leak management PRA opportunities were as follows: two BPs for a backlog between 76 and 100 leaks; four BPs for a backlog between 26 and

75 leaks; and six BPs for a backlog less than or equal to 25 leaks. Under the 2023 Rate Order, the 2023 total leak management PRA opportunities were as follows: two BPs for a backlog between 26 and 75 leaks; four BPs for a backlog between 16 and 25 leaks; and six BPs for a backlog less than or equal to 15 leaks. Under the 2023 Rate Order, the 2024 total leak management PRA opportunities were as follows: two BPs for a backlog between 16 and 50 leaks; four BPs for a backlog between 11 and 15 leaks; and six BPs for a backlog less than or equal to ten leaks. Under the 2023 Rate Order, the 2025 total leak management PRA opportunities are as follows: two BPs for a backlog between 11 and 25 leaks; four BPs for a backlog between 3 and 10 leaks; and six BPs for a backlog less than or equal to two leaks.

Q. In 2022, 2023, and 2024, how did Con Edison perform in its leak management efforts?

A. According to its supplemental response to DPS-178, Con Edison states that it maintained a total leak backlog of 106, 98, and 96 leaks in 2022, 2023, and 2024, respectively.

Q. Did Con Edison incur NRAs for its performance in either 2022, 2023, or 2024?
A. No.
Q. Did Con Edison earn PRAs for its performance in either 2022, 2023, or 2024?
A. No.
Q. Did the Company propose to update or modify its leak management targets?
A. No.
Q. Did Con Edison propose to update or modify its PRAs or NRAs.
A. Yes. On pages 53 and 54 of the Gas Infrastructure and Operations Panel (GIOP) direct testimony, Con Edison proposes to increase the PRAs from two, four, and six BPs, to four, six, and eight BPSs, respectively.
Q. Why?
A. Con Edison states that: "[i]n order to achieve such low total leak backlog targets, the Company must expend significant resources. The cost of deploying such resources currently exceeds the value of the PRA. Therefore, the Company is proposing a PRA level that is more in line with the costs associated with achieving such goals."

Q. Did Con Edison provide supporting documentation for the additional resources necessary to further improve its leak management efforts?

A. No. Con Edison did not provide any supporting documentation, or the associated costs required to improve its leak management efforts.

Q. Did Con Edison propose to update or modify the remaining provisions related to leak management?

A. No.

Q. Does the Panel agree with maintaining the 2025 total leak management targets?

A. No. The Panel recommends reducing the total leak management targets and associated NRAs as follows: five BPs for a backlog between 116 and 125 leaks; ten BPs for a backlog between 126 and 135 leaks; and 15 BPs for a backlog greater than or equal to 136 leaks.

Q. How did the Panel determine the 2026 total leak management targets and associated NRAs?

A. Using the Company’s response and supplemental response to DPS-178, the Panel calculated a 36-percent reduction in 2020, a 21-percent reduction in 2021, a 27-percent reduction in 2022, an eight-percent reduction in 2023, and a

two-percent reduction in 2024. On average, this was a 19-percent yearly reduction to Con Edison's total leak backlog. Applying this 19-percent average yearly reduction to the 2025 total leak management targets, the resultant would be a backlog of less than 116 leaks. In addition to the average yearly reduction, Con Edison maintained a total leak backlog of 106, 98, and 96 leaks in 2022, 2023, and 2024, respectively. The Panel is recommending a target of less than 116 leaks. With more LPP being reduced or replaced year over year, fewer incoming leaks needing repair, and Con Edison maintaining its current level of resources, this target should be achievable.

Q. Why is the Panel's recommended reduction to the total leak management targets reasonable?

A. Con Edison uses both historic and active leaks as weighted factors when prioritizing segments within its risk assessment model. Therefore, the removal of LPP alone should reduce the incoming number of leaks each year. As more of Con Edison's system is comprised of newly installed piping over time, reductions in leak

inventory should be easier to attain. Periodic monitoring also ensures that these leaks do not become an increased threat to public safety. However, this monitoring requires qualified Company personnel to physically visit a location and use properly calibrated equipment to monitor leaks. Because more of the Company's system is comprised of new piping, the total leaks requiring management is reduced. As a result, the reduction in the amount of this work, as well as the reduction of losses of gas due to leakage, should result in lowered costs for ratepayers while simultaneously posing a decreased threat to public safety.

Q. Does the Panel agree with increasing the total leak management PRAs?

A. No. The Panel does not recommend PRAs for Con Edison's leak management efforts.

Q. Why?

A. Given Con Edison's long-term plan, and the Commission's goal of the complete elimination of all LPP, Con Edison should not require additional incentives, through PRAs, to reduce its total leak backlog. In fact, Con Edison

should be continually striving to maintain a zero total leak backlog per calendar year. Also over the past several rate cases, Con Edison has added the necessary resources to repair more leaks. With those resources in place, fewer incoming leaks each year, and the continuation of the LPP reduction or replacement program, Con Edison should be able to maintain a similar or improved performance in the coming years, without a PRA.

Q. Does the Panel agree with continuing the provision related to achieving the leak management targets at any point between December 21 and December 31 of the calendar year?

A. Yes.

Q. Why should Con Edison be allowed to meet its leak management targets at any point between December 21 and December 31 of the calendar year?

A. On an annual basis, Con Edison strives to reduce its leak inventory while new leaks are discovered daily. Therefore, a ten-day threshold is proposed to eliminate the potential for LPP targets being missed due to an increase

of discovered leaks in the last few days of the calendar year. Should the total backlog on any day from December 21 through December 31 fall below the established targets, Con Edison would have met the applicable targets.

Q. Does the Panel agree with continuing the provision related to the successful elimination of a leak?

A. Yes. Only the successful elimination of a leak would be considered a valid leak repair.

Q. What is meant by the phrase: "successful elimination of a leak"?

A, The successful elimination of a leak means that Con Edison performed two or more inspections and confirmed that zero-percent gas-in-air readings have been maintained, or performed a recheck inspection of the pipeline pursuant to 16 NYCRR §255.819. The successful elimination of a leak is defined as both leaks repaired not requiring a recheck inspection, and leaks requiring a recheck that passed inspection.

Q. Are recheck inspections required for all classified leak types?

A. No. Pursuant to 16 NYCRR §255.819(a), upon

completing a Type 1, Type 2A, or Type 2 leak repair, Con Edison must conduct a recheck inspection between 14 and 30 days following the repair date to validate said repair. There are no recheck inspection requirements for Type 3 leaks.

Q. How do recheck inspections affect the total leak backlogs for a given calendar year?

A. If Con Edison were to repair its remaining backlogged leaks within the final ten days of the calendar year, it would have, in theory, met the targeted levels for performance. However, until a recheck inspection confirms that a leak has been successfully eliminated, those leaks should remain in the backlog for the calendar year in which the repair was completed.

Q. Does the Panel recommend that the leak management measure should continue after the rate year?

A. Yes. We recommend that the leak management measure continue in effect until changed by the Commission.

DAMAGE PREVENTION

Q. Explain the term "damage prevention."

A. Damage prevention refers to an operator's ability to minimize damage to its gas facilities caused by excavation activities. Damage to a pipeline could result in the uncontrollable release of gas which may lead to an incident.

Q. Describe Con Edison's performance measures related to the prevention of excavation damage.

A. Under the 2020 Rate Order and the 2023 Rate Order, Con Edison is subject to performance targets that measure its progress in minimizing damages to its underground gas facilities. The targets include measures for the total number of damages per 1,000 one-call notifications. The total damage category includes damages caused by mismarks, excavator error, operator error by the Company and its contractors, and damages that occur when an excavator failed to notify the one-call notification system of its proposed excavation work.

Q. What is the one-call notification system?

A. The one-call notification system is an organization that establishes and carries out procedures to protect underground facilities from damage due to excavation and demolition.

Pursuant to Public Service Law (PSL) Section 119-b and the Commission's pipeline safety regulations, 16 NYCRR §753-3.1, excavators are required to provide notice of intent to excavate to the one-call notification system. There are two one-call notification systems in New York State, UDig NY and New York 811, Inc., which both cover Con Edison's service territory. Both UDig NY and New York 811, Inc. record the pertinent information from the excavator and transmit that information to the member operators of underground facilities that may be affected by the proposed excavation work. Those affected operators then mark the location of their underground facilities, which provides the excavator with the opportunity to take necessary precautions to avoid damaging the facilities. Each incoming call to UDig NY and New York 811, Inc. generates multiple outgoing notifications to affected operators including, but not limited to, gas, electric, telecommunications, water, and sewer operators.

Q. What is a mismark?

A. A mismark occurs when an operator fails to

accurately mark the location of its underground facility in response to the one-call notification. A mismark is any instance where the markings were off by more than two feet. It also includes any instances where the operator fails to mark their facilities in response to a properly requested one-call notification.

Q. What are damages caused by the Company and its contractors?

A. These are damages to facilities that are caused by Company personnel or by contractors who are directly working for the Company.

Q. How does the prevention of excavation damage benefit public safety?

A. These damages often cause service interruptions, building evacuations, road closures, and uncontrolled methane emissions. Fires, explosions, injuries, and fatalities, while less frequent, have also occurred as a result of these types of damages. Therefore, reducing excavation damages improves public safety.

Q. What damage prevention requirements applied to Con Edison for 2022?

A. The 2020 Rate Order’s damage prevention targets

for 2022 were as follows: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, Con Edison would have incurred an NRA of 20 BPs; for a rate between 2.26 and 2.50, Con Edison would have incurred an NRA of 10 BPs; for a rate between 2.01 and 2.25, Con Edison would have incurred an NRA of 5 BPs; for a rate between 1.51 and 2.00, Con Edison would not have incurred any adjustment; for a rate between 1.26 and 1.50, Con Edison would have earned a PRA of 5 BPs; and for a rate less than or equal to 1.25, Con Edison would have earned a PRA of 10 BPs.

Q. What damage prevention requirements applied to Con Edison for 2023?

A. The 2023 Rate Order’s damage prevention targets for 2023 are: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, Con Edison would have incurred an NRA of 20 BPs; for a rate between 2.26 and 2.50, Con Edison would have incurred an NRA of 10 BPs; for a rate between 2.01 and 2.25, Con Edison would have incurred an NRA of 5 BPs; for a rate between 1.41 and 2.00, Con Edison would not have

incurred any adjustment; for a rate between 1.21 and 1.40, Con Edison would have earned a PRA of 5 BPs; and for a rate less than or equal to 1.20, Con Edison would have earned a PRA of 10 BPs.

Q. What damage prevention requirements applied to Con Edison for 2024?

A. The 2023 Rate Order's damage prevention targets for 2024 are: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, Con Edison would have incurred an NRA of 20 BPs; for a rate between 2.26 and 2.50, Con Edison would have incurred an NRA of 10 BPs; for a rate between 2.01 and 2.25, Con Edison would have incurred an NRA of 5 BPs; for a rate between 1.31 and 2.00, Con Edison would not have incurred any adjustment; for a rate between 1.11 and 1.30, Con Edison would have earned a PRA of 5 BPs; and for a rate less than or equal to 1.10, Con Edison would have earned a PRA of 10 BPs.

Q. What damage prevention requirements applied to Con Edison for 2025?

A. The 2023 Rate Order's damage prevention targets

for 2025 are as follows: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, Con Edison would have incurred an NRA of 20 BPs; for a rate between 2.26 and 2.50, Con Edison would have incurred an NRA of 10 BPs; for a rate between 2.01 and 2.25, Con Edison would have incurred an NRA of 5 BPs; for a rate between 1.21 and 2.00, Con Edison would not have incurred any adjustment; for a rate between 1.01 and 1.20, Con Edison would have earned a PRA of 5 BPs; and for a rate less than or equal to 1.00, Con Edison would have earned a PRA of 10 BPs.

Q. In 2022, 2023, and 2024, how did Con Edison perform in its damage prevention efforts?

A. According to its responses to DPS-210 and DPS-881, Con Edison performed at a rate of 1.22, 1.50, and 1.36 total damages per 1,000 one-call notifications in 2022, 2023, and 2024, respectively.

Q. Was Con Edison subject to PRAs or NRAs for either its 2022, 2023, or 2024 performance?

A. Yes. Based on its performance in 2022, Con Edison earned a PRA of 10 BPs.

Q. Did Con Edison propose to update or modify its damage prevention targets or adjustments?
A. No.
Q. Does the Panel recommend that the total damage rate calculation include or exclude refresh and/or retransmit tickets in Westchester County?
A. The Panel recommends that the total damage rate calculation exclude refresh and/or retransmit tickets in Westchester County.
Q. Why?
A. With UDig NY now having the ability to exclude these types of tickets for Westchester County and because there is two years-worth of data for evaluation, the total damage rate calculation needs to be reconsidered.
Q. Excluding refresh and/or retransmit tickets, in 2023 and 2024, how did Con Edison perform in its damage prevention efforts?
A. According to its response to DPS-364, Con Edison stated there were 5,519 and 6,559 refresh and/or retransmit tickets in 2023 and 2024, respectively. Removing these types of tickets from the calculation, Con Edison performed at an adjusted rate of 1.57 and 1.44 total damages per

1,000 one-call notifications in 2023 and 2024, respectively.

Q. At these adjusted performance rates, would Con Edison have been subject to PRAs or NRAs for either its 2023 or 2024 performance?

A. No. Con Edison would have outperformed the NRA target of 2.00, while at the same time having been incentivized to perform at a lower rate to achieve the PRA targets.

Q. What does the Panel recommend for targets and revenue adjustments related to damage prevention?

A. The Panel recommends the continuation of the 2025 targets and revenue adjustments required pursuant to the 2023 Rate Order with the exclusion of refresh and/or retransmit tickets in Westchester County.

Q. What are the damage prevention requirements for Con Edison in 2025?

A. The 2023 Rate Order’s damage prevention targets for 2025 are as follows: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, Con Edison would incur an NRA of 20 BPs; for a rate between

2.26 and 2.50, Con Edison would incur an NRA of 10 BPs; for a rate between 2.01 and 2.25, Con Edison would incur an NRA of 5 BPs; for a rate between 1.21 and 2.00, Con Edison would not incur any adjustment; for a rate between 1.01 and 1.20, Con Edison would earn a PRA of 5 BPs; and for a rate less than 1.01, Con Edison would earn a PRA of 10 BPs.

Q. Does the Panel recommend that Con Edison be required to continue submitting its data per the December 11, 2015, damage prevention guidance letter, contained in Exhibit___(SGSP-2)?

A. Yes.

Q. Are any damage types excluded from the total damage rate calculation?

A. Yes. When a one-call notification is provided, damages caused by homeowners, humans, and animals are included in the total damage rate calculation. When a one-call notification is not provided, damages caused by homeowners, humans, and animals are excluded from the total damage rate calculation.

Q. Why?

A. According to the December 11, 2015, damage

prevention guidance letter, contained in Exhibit___(SGSP-2), third-party damage is a category reserved for any damages where the person or entity performing the work provided notice of intent to excavate to the one-call notification system. This means that the person or entity performing the excavation was aware of its requirement to provide notice, provided notice of intent to excavate, and thus implies that the entity was also aware of the additional requirements of 16 NYCRR Part 753. These requirements include but are not limited to: commencing excavation within the prescribed timeframe; digging with care and respect for marked facilities; verifying the precise location, size, and depth of the underground facilities; and maintaining four inches of clearance between mechanized equipment and underground facilities. This also means that the operator was afforded the opportunity to accurately mark its facilities to prevent contact or damage. Thus, third-party damages could be a result of the operator mismarking its facilities. This is the reason why third-party

damages caused by homeowners, humans, and animals are included in the total damage rate when a one-call notification is provided.

Q. Why are the recommended targets and adjustments reasonable?

A. Given the high volume of one-call notifications in Con Edison's service territory and the inherent risks associated with excavation work, public safety must be of the utmost importance.

Q. Are damages due to mismarks by the Company and its contractors within Con Edison's control?

A. Yes.

Q. Are total damages also within Con Edison's control?

A. Damages caused by failure to notify UDig NY or New York 811, Inc., sometimes referred to as no-calls, and unsafe excavation practices by excavators, are not directly within Con Edison's control. However, Con Edison can minimize these types of damages through education and outreach efforts to excavators, by continuing to bill excavators for repair costs and lost gas when the excavator is at fault for a damage, and by referring problem excavators to Staff for

enforcement purposes.

Q. Are damages due to no-calls included in the total damage rate?

A. Yes. No-call damages, which are a part of the total damage rate calculation, provides insight on the general awareness of excavators and their use of the one-call notification system within Con Edison's service territory.

Q. How does Department Staff assist operators with enforcement of damage prevention?

A. Since 1997, Staff has administered an enforcement program, which includes the collection of penalties for violating the Commission's damage prevention regulations. In 2007, this program was expanded to include instances of damage due to no-calls. Damages due to no-calls are the most straightforward violations of 16 NYCRR Part 753. The enforcement of such damages results in greater excavator awareness and can lead to a lower rate of damage to underground facilities. In addition, when promptly notified and resources are available, Staff will perform an on-site investigation of the damage.

Q. Does the Panel recommend that the damage prevention measure should continue after the rate year?

A. Yes. We recommend that the damage prevention measure continue in effect until changed by the Commission.

EMERGENCY RESPONSE

Q. Explain the term "emergency response."

A. 16 NYCRR §255.825(d) requires that each operator provide a monthly report of the total number of reports received, and responded to, in 15-minute intervals during normal business hours, weekdays outside of normal business hours, weekends, and holidays. The term emergency response refers to an evaluation of an operator's response to gas leak, odor, and emergency reports generated by the public and non-Company personnel.

Q. What is the significance of the emergency response performance measures?

A. Leaks on inside piping, improperly operated or installed appliances, and gas migration into a building from leaks on outside piping all present risks to the public. Operators recognize this and dispatch personnel on a

priority basis in response to reports of gas leaks, odors, or emergencies. Operators are required to maintain a log of such reports and track the total elapsed time from the receipt of the report to the arrival time of qualified personnel. As the operator's response time increases, so does the potential for an incident or safety-related condition. Therefore, it is imperative that operators minimize their response times to gas leaks, odors, or emergency reports.

Q. Currently, what are Con Edison's emergency response targets?

A. Con Edison's current emergency response targets for 2023 through 2025 were established in the 2023 Rate Order and are as follows: respond to 75 percent of all gas leak, odor, and emergency reports within 30 minutes; respond to 90 percent of all gas leak, odor, and emergency reports within 45 minutes; and respond to 95 percent of all gas leak, odor, and emergency reports within 60 minutes.

Q. Does Con Edison have NRAs for its emergency response performance?

A. Yes. Under the 2023 Rate Order, failure to meet the 30, 45, or 60-minute targets would result in NRAs of twelve, eight, or five BPs, respectively.

Q. Does Con Edison currently have PRAs for its emergency response performance?

A. Yes. The 2023 Rate Order provides that Con Edison may earn PRAs for the 30-minute emergency response time target. In 2023, for a response rate greater than or equal to 96 percent but less than 97 percent, Con Edison would earn two BPs; for a response rate greater than or equal to 97 percent but less than 99 percent, Con Edison would earn four BPs; and for a response rate greater than or equal to 99 percent, Con Edison would earn six BPs. In 2024, for a response rate greater than or equal to 96.5 percent but less than 97.5 percent, Con Edison would earn two BPs; for a response rate greater than or equal to 97.5 percent but less than 99.5 percent, Con Edison would earn four BPs; and for a response greater than or equal to 99.5 percent, Con Edison would earn six BPs. In 2025, for a response greater than or equal to 97

percent but less than 98 percent, Con Edison would earn two BPs; for a response greater than or equal to 98 percent but less than 99.5 percent, Con Edison would earn four BPs; and for a response greater than or equal to 99.5 percent, Con Edison would earn six BPs.

Q. Were there any other stipulations related to the emergency response time measures?

A. Yes. The 2023 Rate Order states that Con Edison may exclude instances of 20 or more gas leak, odor, or emergency reports within a two-hour period resulting from mass area odor complaints, major weather-related events, or major equipment failures that were not caused by the Company provided an informational filing is made within the respective case number. The exclusion filing must: (1) be filed within two weeks, or ten working days from the conclusion of such an event; (2) detail how and why the event met the prescribed exclusion criteria; (3) detail the number of emergency reports to be excluded; (4) detail the Company's response time for each of the emergency reports; and (5) detail any classified leaks, their respective Company

identification numbers, and their respective dispositions, that resulted from the emergency reports.

Q. From 2020 through 2024, how did Con Edison perform in its emergency response efforts?

A. According to its response and supplemental response to DPS-186, Con Edison exceeded the established minimum performance levels every year for the past five calendar years. In 2020, Con Edison responded to 98.28 percent, 99.97 percent, and 100 percent of emergency calls within 30, 45 and 60 minutes, respectively. In 2021, Con Edison responded to 96.43 percent, 99.67 percent and 99.85 percent of emergency calls within 30, 45, and 60 minutes, respectively. In 2022, Con Edison responded to 97.43 percent, 99.89 percent, and 100 percent of emergency calls within 30, 45, and 60 minutes, respectively. In 2023, Con Edison responded to 97.40 percent, 99.91 percent, and 100 percent of emergency calls in 30, 45, and 60 minutes, respectively. And in 2024, Con Edison responded to 98.22 percent, 99.82 percent and 99.92 percent of emergency calls within 30, 45 and 60

minutes, respectively.

Q. Was Con Edison subject to any NRAs for its emergency response time performance from 2020 through 2024?

A. No. Based on its performance for emergency response times, Con Edison was not subject to NRAs from 2020 to 2024.

Q. Was Con Edison subject to any PRAs for its emergency response time performance from 2020 through 2024?

A. Yes. Based on its performance for emergency response times, Con Edison earned PRAs every year from 2020 through 2024. In 2020, Con Edison earned six BPs in PRAs. In 2021, Con Edison earned two BPs in PRAs. And in 2022 through 2024, Con Edison earned four BPS in PRAs for each year.

Q. Did Con Edison propose to modify or change its existing emergency response targets?

A. No.

Q. Did the Company propose any changes to the NRAs associated with its emergency response targets?

A. No.

Q. Did Con Edison propose any changes to the PRAs

associated with its emergency response targets?

A. Yes. In Table 2 of Exhibit__(GIOP-4), the Company proposed the following changes to the PRAs associated with 30 minute response times: for responses equal to 97 percent but less than 98 percent, a change from two BPs to four BPs; for responses equal to 98 percent but less than 99.5 percent, a change from four BPs to six BPs; and for responses equal to or greater than 99.5 percent, a change from six BPs to eight BPs.

Q. Did the Company provide a reason for the proposed changes?

A. Yes. On page 54, of the GIOP direct testimony, the Company stated: "[t]o achieve such fast response time targets, the Company must expend significant resources. The cost of deploying such resources currently exceeds the value of the PRA. Therefore, the Company is proposing a PRA level that is more in line with the costs associated with achieving such goals."

Q. Did the Company provide further information on the additional resources necessary to further improve emergency response times and the associated costs of these resources?

A. No. According to its response to DPS-363, "... the Company is not able to quantify with any specificity the number of additional resources that would be required to further improve emergency response times... additional staffing could assist with emergency response time, however if multiple events requiring multiple responders occur at the same time, response time targets still could be missed. Additional staffing beyond a certain level can also result in underutilized resources..."

Q. What does the Panel recommend for the emergency response measures?

A. We recommend that Con Edison continue to be required to respond to 75 percent, 90 percent, and 95 percent of all gas leak, odor, and emergency reports within 30, 45, and 60 minutes respectively; with NRAs of twelve, eight and five BPs, respectively.

Q. What does the Panel recommend for the associated emergency response time PRAs?

A. The Panel recommends no PRAs associated with the emergency response time measures.

Q. What factors led to this recommendation by the

Panel?

A. Con Edison has consistently exceeded its 30-minute emergency response target from 2020 through 2024 with a five-year average 30-minute response percentage of 98 percent. Con Edison has received PRAs for each calendar year during this time period. According to its response to DPS-363, the Company associated its ability to achieve these response times for the five-year period to three factors: 1) reduced gas leaks as a result of its Infrastructure Replacement or Reduction Program; 2) aggressive leak survey program; and 3) its repair of Type 3 leaks. The Company further indicated in its response to DPS-363, that it "... strategically deploy[s] [its] resources throughout the service are[a] and utilize[s] overlapping shifts to ensure optimal staffing levels." As intended, the PRAs available in past rate cases have incentivized the Company to implement programmatic changes and redistribute the resources necessary to optimize and minimize their emergency response times. With these enhancements in place, there is no longer justification or need for a PRA

incentive to improve Con Edison's emergency response time performance.

Q. Does the panel have any other recommendations regarding emergency response times?

A. Yes. The panel recommends the continuation of an exclusion request language for instances of 20 or more gas leak, odor, and emergency reports within a two-hour period resulting from mass area odor complaints, major weather-related events, or major equipment failures that were not caused by the Company provided an informational filing is made within the respective case number. The exclusion filing must: (1) be filed within two weeks, or ten working days from the conclusion of such an event; (2) detail how and why the event met the prescribed exclusion criteria; (3) detail the number of emergency reports to be excluded; (4) detail the Company's response time for each of the emergency reports; and (5) detail any classified leaks, their respective Company identification numbers, and their respective dispositions, that resulted from the emergency reports. In addition, Con Edison must maintain

a log of such reports and track the elapsed time between the time the call is received and arrival of qualified personnel responding to the scene.

Q. Does the Panel recommend that the emergency response measure should continue after the rate year?

A. Yes. We recommend that the emergency response measure continue in effect until changed by the Commission.

COMPLIANCE WITH PIPELINE SAFETY REGULATIONS

Q. Has the Commission adopted a compliance measure that is currently in effect for Con Edison?

A. Yes, in the 2023 Rate Order the Commission adopted a compliance measure that remains in effect until modified by a subsequent Commission action.

Q. Please explain what the compliance measure is.

A. The Company incurs NRAs when Staff identifies and documents that the Company violated the Commission's pipeline safety regulations.

Q. Where are the Commission's pipeline safety regulations located?

A. The Commission's pipeline safety regulations are

in 16 NYCRR Parts 10, 232, 255, 257, 258, 259, 261, 262, 293, 420, 733, and 753. There are also relevant statutory provisions in General Business Law and Public Service Law.

Q. How does Staff identify violations?

A. Staff conducts field and record audits and investigates complaints and incidents related to gas and hazardous liquid pipeline systems. Typically, when Staff discovers an instance of non-compliance with the Commission's pipeline safety regulations, Staff holds a compliance meeting with the Company to provide the details of the non-compliance.

Q. How are violations categorized?

A. Violations are categorized as either high risk or other risk and are based on the likelihood of risk to public safety. The terms "high risk" and "other risk" refers to code requirements that, if not followed, lead to a greater likelihood of an adverse impact on public safety.

Q. Does Con Edison incur NRAs if it does not comply with the gas safety regulations?

A. Yes.

Q. How did Con Edison perform in 2021?
A. According to the 2021 operations and maintenance field and record audit letters contained in Exhibit___(SGSP-3), Staff applied four high risk violations, which resulted in an NRA of two BPs.
Q. How did Con Edison perform in 2022?
A. According the 2022 operations and maintenance field and record audit letters contained in Exhibit___(SGSP-4), Staff applied three high risk violations, which resulted in an NRA of one and one-half BPs.
Q. How did Con Edison perform in 2023?
A. According the 2023 operations and maintenance field and record audit letters contained in Exhibit___(SGSP-5), Staff cited 27 high risk and 20 other risk violations, which resulted in an NRA of eight and one-half BPs.
Q. And finally, how did Con Edison perform in 2024?
A. Staff has not yet completed its review of Con Edison's performance for 2024.
Q. What is the net balance for associated revenue adjustments?
A. As previously mentioned, Con Edison earned 22 BPs in PRAs and 12 BPs in NRAs. Thus, the net

balance for Con Edison is 10 BPs in PRAs, which equates to $5,908,954.50.

Q. Is the Panel generally concerned with any instance of non-compliance with the pipeline safety regulations?

A. In general, yes, we are concerned that any number of violations could indicate a lack of control, issues with quality assurance, or a culture that is willing to accept non-compliance with the pipeline safety regulations as a cost of doing business.

Q. Did the Company propose to update or modify the compliance measure?

A. Yes. Con Edison proposes to eliminate NRAs for violations of its work procedures where the work procedures go above and beyond the statutory requirements, to eliminate NRAs for violations that were previously identified and rectified by Con Edison, and to eliminate NRAs for violations that were previously self-reported and not subject to reporting requirements.

Q. Does the Panel agree with the Company's proposal to eliminate NRAs for violations of its work procedures where the work procedures go above

and beyond the statutory requirements?

A. No. While the pipeline safety regulations have specific minimum requirements that the operator is required to meet, the regulations also require the operator to have work procedures that detail how the operator will meet those requirements. An operator could meet the specific requirement in the regulation but fail to perform the task correctly by not following its procedure. Also, there are non-specific regulations that defer to an operator's work procedure for a more detailed requirement. For example, 16 NYCRR §625(e) requires operators to establish work procedures for the periodic sampling of odorant within a pipeline. In this case, the work procedure defines the frequency of periodic sampling to assure the proper concentration of odorant.

Q. Does the Panel agree with the Company's proposal to eliminate NRAs for violations that were previously identified and rectified by Con Edison, or that were previously self-reported and not subject to reporting requirements?

A. No. Staff reviews and considers each violation

for enforcement on a case-by-case basis. Identified violations that did not occur within the respective calendar year, violations to which NRAs have already been applied under another regulation, and violations for which sufficient arguments have been raised that question the appropriateness of the application of an NRA may be excluded from consideration under the review process.

Q. What does the Panel recommend for a compliance measure?

A. The Panel's recommendations are contained in Exhibit___(SGSP-6). We recommend that the Commission adopt Exhibit___(SGSP-6) to govern the compliance measure and incorporate it into its order setting rates in these proceedings.

Q. Does the Panel propose for Exhibit___(SGSP-6) to be incorporated into the litigated or negotiated outcome for this proceeding?

A. Yes.

Q. What modifications does the Panel recommend for the compliance measure compared to the currently effective provisions?

A. We recommend eliminating deadbands, or instances

where violations would not be subject to an NRA, eliminating violation caps, and eliminating remediation plans.

Q. Why does the Panel recommend the elimination of deadbands, or instances where violations would not be subject to an NRA, violation caps, and remediation plans?

A. Given the maturity of this performance measures, and Con Edison being compensated at just and reasonable rates for satisfying its obligation to comply with the minimum pipeline safety requirements, we recommend the removal and modification of these mechanisms to more accurately reflect the extent of Con Edison's compliance efforts. These mechanisms were originally implemented to provide Con Edison with relief from NRAs for deadbands and wholistic program deficiencies. Since calendar year 2014, Con Edison has been afforded two five-year audit cycles and over a decade's worth of time to evaluate and address any systematic deficiencies. Thus, by removing and modifying these mechanisms, Con Edison would be subject to a more accurate number of NRAs, moving forward.

Q. Why are the recommended targets, NRAs, and remaining provisions reasonable?

A. As previously stated, Con Edison is compensated at just and reasonable rates to satisfy its obligation to comply with the minimum pipeline safety requirements. Failure to complete these minimum requirements places at risk the safety of the gas system and leads to the greater likelihood of an adverse impact on public safety.

Q. Does the Panel recommend that the compliance measure should continue after the rate year?

A. Yes. We recommend that the compliance measure continue in effect until changed by the Commission.

INCREMENTAL FULL-TIME EQUIVALENT (FTE) POSITIONS

Q. Did Con Edison propose any incremental gas FTE positions?

A. Yes. On pages 47 through 50 of its GIOP direct testimony, the Company proposes a total of 273 incremental FTE positions, 58 of which are arbitrarily designated as gas. The remaining 215 are designated as electric. Among the positions, there is a vice president, an

executive assistant, two general managers, four section managers, 19 supervisors, 77 mechanics, 55 chief construction inspectors, ten specialists, 94 field inspectors, and ten field technical specialists.

Q. How were the incremental FTEs determined?

A. On pages 47 through 50 of the GIOP direct testimony, the Company states that these incremental FTE requests are "to accommodate electric load growth from electrification initiatives." The requests would also "support asset replacement and upgrades that the Company will continue to perform to maintain system reliability, including work such as the Gas Infrastructure Replacement or Reduction Program."

Q. Did Con Edison propose to increase the targeted milage for the Gas Infrastructure Replacement or Reduction Program?

A. No.

Q. Did Con Edison propose to reduce the targeted number of leaks for repair?

A. No.

Q. Did Con Edison propose to increase the number of

construction-related activities?

A. While subjectively based on a year-to-year comparison, this Panel would say no.

Q. Should gas customers be responsible for incremental FTE positions "to accommodate electric load growth from electrification initiatives"?

A. No.

Q. Was any other justification provided?

A. Neither the GIOP direct testimony, Exhibit___(GIOP-2), Exhibit___(GIOP-3), or Con Edison's response to DPS-377 provide sufficient justification for the 58 incremental gas FTEs. An 80-percent and 20-percent split was arbitrarily designated as electric and gas, respectively. And these incremental FTE positions were categorized as construction related. Based on the specific titles, approximately ten percent of the total request for incremental FTE positions would be at a management level or higher.

Q. Does the Panel support the 58 incremental gas FTE positions?

A. While the Panel supports Con Edison's continued

efforts on gas infrastructure replacement or reduction, leak repairs, and construction-related activities, we do not support the proposed 58 incremental gas FTE positions. As previously stated, Con Edison failed to quantify what safety- and/or system-related improvements would be realized or to clearly establish duties and responsibilities for these positions that differ from existing duties and responsibilities of current employees. These positions were not forecasted based on tangible increases to workload. In addition, the Panel does not support the request to purchase vehicles for the requested 58 incremental gas FTEs. This topic is further addressed in the Staff Electric Infrastructure and Operations Panel and Staff Shared Services Panel direct testimonies.

REPORTING REQUIREMENTS

Q. What were the reporting requirements related to gas safety programs?

A. Per the 2023 Rate Order, Con Edison is required to report on the following gas safety programs: meter relocations; first responder training; AMI-enabled natural gas detectors (NGDs);

advanced leak detection; electric burnouts affecting gas facilities; and the gas safety performance measures.

Q. What are the meter relocation reporting requirements?

A. Con Edison is required to submit an annual report on meter relocations which included: the number of meters relocated outside; the number of meters left inside; and of the meters left inside, the number that involved service replacements by installation of a new service line in premises for one- or two-family homes.

Q. What are the first responder training reporting requirements?

A. Con Edison is required to submit an annual report on first responder trainings which included: identifying participating fire departments and public safety agencies in attendance; the date, location, and times of drills and/or operational exercises; any associated outreach documentation; the number of persons in attendance per agency; the topics reviewed; any applicable recommendations for improvement; and the status of its efforts to

continue to adopt the principles of the Pipeline Emergency Responders Initiative (PERI).

Q. What are the AMI-enabled NGD reporting requirements?

A. Con Edison is required to submit an annual report on AMI-enabled NGDs which included: the number of AMI-enabled NGDs installed in the subject rate year, including a breakdown of new installations versus replacements due to device end-of-life; the total number of AMI-enabled NGDs installed to date; the costs for installations in the subject rate year; the costs for installations to date; the alarms received by the control center in the subject rate year, including a breakdown of the causes of the alarms (for example, identified leak, sewer emissions, work on customer equipment); and a summary of actions taken in response to alarms (for example, gas turn-off, replaced device).

Q. What are the advanced leak detection reporting requirements?

A. Con Edison is required to submit an annual report on advanced leak detection which

included: the miles of pipe surveyed; the number of high emissions leaks (ten standard cubic feet per hour, or greater) and all other leaks identified by the survey; the pipe age, pipe material, and methane leak flow rate (for example, liters per minute) for each high emission leak; and the estimated methane emission reductions achieved by repairing the high emissions leaks.

Q. What are the electric burnouts affecting gas facilities reporting requirements?

A. Con Edison is required to report on electric burnouts affecting gas facilities in accordance with the requirements in Case 17-G-0316. In addition, Con Edison must: document activities related to electric burnouts affecting gas facilities consistent per the reporting table, contained in Exhibit___(SGSP-7); and gather information and identify additional measures for discussion with Staff to reduce the number of electric burnouts on gas facilities (including any research and development efforts).

Q. What are the gas safety performance measure reporting requirements?

A. Con Edison is required to submit an annual report on its performance related to the gas safety performance measures.

Q. Did the Company propose to update or modify any of the reporting requirements?

A. No.

Q. What does the Panel recommend for reporting requirements?

A. For meter relocations, first responder training, AMI-enabled NGDs, advanced leak detection, and electric burnouts affecting gas facilities, the Panel recommends that Con Edison be directed to file an annual report no later than 60 days following the close of each rate year with the Secretary to the Commission in Case 25-G-0073. For the gas safety performance measures, the Panel recommends that Con Edison be directed to file an annual report no later than 60 days following the close of each calendar year with the Secretary to the Commission in Case 25-G-0073.

Q. Does the Panel recommend that the annual reporting requirements continue?

A. Yes. The annual reporting requirements must

remain in effect until changed by the Commission.

Q. Does this complete the Panel's testimony?

A. Yes, at this time.